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P.O. Box 34
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Date

May 2, 2024

Our reference

z-2021-14274

Contact person

[CONFIDENTIAL]

[CONFIDENTIAL]

Subject

Decision to impose an administrative fine for violating the General Data Protection Regulation

Dear members of the management,

The Authority for Personal Data (hereinafter: AP) has decided to impose an administrative fine of € 600,000 on A.S. Watson Health & Beauty Continental Europe B.V. (hereinafter: A.S. Watson) for violating Article 6, paragraph 1, in conjunction with Article 5, paragraph 1, under a, of the General Data Protection Regulation (hereinafter: GDPR). The reason for this is that A.S. Watson has no lawful basis for processing personal data as it has failed to obtain consent from data subjects for the processing of their personal data through (tracking) cookies when visiting the website [kruidvat.nl](https://www.kruidvat.nl).

The AP is of the opinion that imposing an administrative fine on A.S. Watson is not only appropriate but also necessary. A.S. Watson has violated the rights and freedoms of citizens by unlawfully processing their personal data. The AP considers this serious and therefore proceeds to enforcement against A.S. Watson.

This decision explains the administrative fine. It will successively address the background of the investigation, the findings of the investigation report, the procedural course, the views of A.S. Watson, the violation, and the amount of the fine. Finally, the dictum follows.

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1. Background of the investigation

1. A.S. Watson is a company based in Renswoude and operates as a financial holding managing and operating various wholesale and retail businesses. Kruidvat is a subsidiary within the A.S. Watson group.

2. The First-Line Investigation Department of the Customer Contact and Supervisory Research Directorate of the AP initiated an investigation in October and November 2019 into various websites, including [kruidvat.nl](https://www.kruidvat.nl), to assess whether those websites complied with the requirements for placing (tracking) cookies. It was also examined whether consent from data subjects was requested for the processing of personal data through (tracking) cookies, as well as how this consent was structured.

3. On November 29, 2019, the AP sent a norm-transmitting letter to A.S. Watson indicating that it was

likely that the applicable legal framework was not being met. With this letter, the AP encouraged A.S. Watson to review its approach regarding the consent procedure for (tracking) cookies.

4. The AP conducted technical investigations on April 28, 2020, May 7, 2020, and June 16, 2020, and found that A.S. Watson had not adjusted its approach.

5. The AP subsequently initiated an ex officio investigation into a possible violation of the GDPR by A.S. Watson.

2. Findings of the investigation report and procedural course

6. The findings of the investigation are documented in a report. This paragraph summarizes the key findings from it.

7. A.S. Watson has its main office in the Netherlands.

1 Investigation report, appendix 8: extract from the Chamber of Commerce.

2 Case document 1: investigation report with appendices.

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8. A.S. Watson is the data controller in the sense of the GDPR for kruidvat.nl because it determines both the purpose and means as well as the manner of obtaining consent for kruidvat.nl.³

9. The privacy statement of kruidvat.nl states that upon visiting kruidvat.nl, advertising cookies and tracking cookies are placed and read.⁴ This includes descriptions of the types of personal data, the purpose and legal basis of the processing, the types of cookies, as well as the retention period. There is also information provided about sharing collected information with third parties. Finally, the visitor of the website is informed about the possibility of creating an account and is informed about the required data such as name, address, and place of residence (NAW) data, date of birth, gender, and email address.

10. The First-Line Research department of the Customer Contact and Supervisory Research Directorate of the AP conducted a technical investigation on the website kruidvat.nl on April 28, 2020, and determined which cookies, javascripts, and web beacons (hereinafter collectively referred to as: "cookies") are placed/loaded when visiting kruidvat.nl. Since the visitor must undergo a consent procedure for sharing certain data (cookie window), the AP examined both the consent procedure itself and the placement of cookies both before and after completing the consent procedure.

11. It was found that cookies were placed both before and after the consent procedure was completed. A.S. Watson was questioned by the AP about five cookies, specifically regarding the type of data processing per cookie, whether or not a unique identifier is assigned to (the device of) the visitor, the purpose of the cookies, and finally any processing by and processing agreements with third parties.

12. In response to that request, A.S. Watson provided information to the AP on July 21, 2020, regarding the five requested cookies. Based on the response provided by A.S. Watson, the following was established in the research report.

13. The first-party peerius_user cookie and the first_party_unless_visitorID cookie assign a unique user ID to the website visitor, with the aim of personalization and tracking (future) repeat visits.

14. The first-party peerius_sess cookie collects information about the specific visit (the session) of a visitor's device at a given moment. This includes which pages are visited, which products are added to the shopping cart and which are purchased, which recommendations are clicked, the email address, user ID, IP address, and the user-agent. The purpose of this cookie is to provide a better user experience to the website visitor behind the unique user ID based on this visit information.

15. The first-party cookies also have a specific validity period established by the technical

investigation:

a. peerius_user:

until January 14, 2040, 11:39:10 (approximately 19 years and 9 months)

b. unless_visitorID: until April 28, 2021, 11:39:10 (approximately 1 year)

c. peerius_sess:

until April 28, 2020, 15:39:10 (approximately a few hours)

16. The third-party unless javascript collects analytical data per page visit based on aggregated/combined behavior scores, the URL, and so-called custom events. The IP address and user-agent are also processed and sent. The IP address is not stored but is used to determine the location of the browser session. All this data is sent by A.S. Watson to a third party that processes this data. The purpose of these processes is personalization and optimizing the user experience. A.S. Watson has entered into a processing agreement with this third party.

17. The third-party Google Analytics tracking beacon collects data⁵ with the aim of obtaining statistical insights regarding the use of kruidvat.nl. This data is sent to a third party (Google) with whom a processing agreement has been concluded.

18. Finally, it has been established for each of the above cookies that they were placed before the visitor of kruidvat.nl had given consent. On May 11, 2021, it was again established that the third-party unless javascript was executed before consent was given.

19. The manner in which A.S. Watson asks the visitor of the website kruidvat.nl for consent to place cookies consists of several steps.⁶ In the first step, two options are displayed: "I agree to the use of cookies" and "Do you want to know more?".

20. In the second step (after clicking on 'Do you want to know more?'), the choice is given between "Agree and continue" and "More information".

21. In the third step (after clicking on "More information"), a slider becomes visible with the options "Functional Cookies", "Mandatory Cookies", and "Advertising Cookies". A.S. Watson has ensured that the slider

⁵ User agents, Traffic sources-referrers/campaigns/Sources, client ID/visitor ID, Location, language, Page URL, Page Title, see research report, p. 28.

⁶ Research report, appendix 5: technical investigation April 28, 2020.

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the standard was set to the option "Advertising Cookies." The three other options were "Cancel," "Send Preferences," and "Advanced Settings."

22. In the fourth step (after clicking on "Advanced Settings"), separate consent can be given for Functional Cookies and Advertising Cookies by clicking on "allow." There are also two options: "Cancel" and "Send Preferences."

23. In step five (after clicking on "Send Preferences"), the website visitor is informed that the settings have been sent and that the consent procedure has concluded.

24. The investigation report established that A.S. Watson has set consent as the default if the entire procedure is followed as long as no settings are actively changed by the visitor.⁷

25. At the time of the investigation, the First-Line Research department of the Customer Contact Directorate and the Supervisory Research of the AP on September 4, 2020, determined that the request for consent for placing cookies had been modified, but that on the same date the "Advertising cookies" were still checked by default. The AP pointed this out to A.S. Watson on September 24, 2020,

and posed additional questions to A.S. Watson. On October 5, 2020, the AP established that the consent procedure had been adjusted and that there were no longer pre-checked boxes/pre-filled consent. This change is the result of, according to A.S. Watson, the implementation of eLab 2.0, in which a future-proof cookie policy is used through a technical improvement of the codebase of the website kruidvat.nl.

26. In response to inquiries, A.S. Watson indicated that the number of visitors to kruidvat.nl during the period from November 29, 2019, to June 25, 2020, was [CONFIDENTIAL]. A.S. Watson is unaware of how many unique visitors this involves due to the possibility that the same user uses different devices.⁸

27. The above has been documented by the First-Line Research department of the Customer Contact Directorate and the Supervisory Research of the AP in a report, which was signed on July 1, 2021, and sent to A.S. Watson.⁹

7 Investigation report, appendix 5: technical investigation April 28, 2020.

8 Investigation report, appendix 3: letter from A.S. Watson dated July 21, 2020.

9 File document 1: investigation report with appendices.

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28. In a letter dated August 19, 2021, the Enforcement department of the Legal Affairs and Legislative Advice Directorate of the AP expressed its intention to proceed with enforcement. A.S. Watson was given the opportunity to provide its views on the investigation report.¹⁰

29. A.S. Watson provided its written views on the report on October 31, 2021.¹¹

30. The Enforcement department of the AP requested additional information from A.S. Watson in a letter dated January 14, 2022, to which A.S. Watson responded on January 31, 2022.

31. Due to limited capacity at the AP, this procedure was subsequently stalled. On October 11, 2023, A.S. Watson orally explained its views.

3. Legal Framework

32. For better readability of this decision, the relevant legal framework is included in the appendix. The legal framework is part of this decision.

4. Views of A.S. Watson

33. A.S. Watson has – in summary – provided the following views on the report.

34. The investigation by the AP is unlawful because the cookies and similar techniques on the website kruidvat.nl cannot be considered public data, and the AP entered its virtual domain without prior consent or knowledge of A.S. Watson. Furthermore, the AP used a 'tool' that is not user-friendly. Therefore, the AP was forced to make the results visible through costly software that is not available to everyone.

35. Additionally, there is a lack of legal basis for the investigation conducted by the AP.

36. A.S. Watson cannot deduce from the conclusion in the investigation report against which accusation it must defend itself. This has impaired its rights of defense. For instance, the investigation report does not clarify whether A.S. Watson has committed one or more violations, which violation occurred during which period, and what the duration of the violation was.

10 File document 2: Letter of intent to enforce dated August 19, 2021.

11 File document 3: Written views of A.S. Watson dated October 31, 2021.

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37. The AP did not investigate how many users actually registered and whether the collected information could be linked to the registration data of users. Nor did the AP investigate for what purposes the relevant cookies were used. Thus, the AP acted contrary to the principle of due diligence.
38. The research report did not establish which cookies were placed at the moment the option "advertising cookies" was accepted.
39. A.S. Watson did not have the factual or legal means to identify natural persons using cookies.
40. The use of the term "personal data" from the Telecommunications Act (Tw) constitutes, in fact, an unauthorized extension of that term as included in the GDPR.
41. A.S. Watson did not track visitors of its website on other websites.
42. The number of visitors to the website [kruidvat.nl](https://www.kruidvat.nl) cannot serve as a basis for determining the scope and extent of a possible violation.
43. By accepting the already checked boxes, visitors of [Kruidvat.nl](https://www.kruidvat.nl) only granted permission for the placement of cookies and similar techniques, and thus there is no question of ambiguous consent.
44. A.S. Watson did not use the tracking functionalities of 'Unless' and 'Peerius' during the period from October 1, 2020, to May 11, 2021, without prior consent from visitors.
45. A.S. Watson did not need consent from visitors for the use of Google Analytics from October 1, 2020, as from that date Google Analytics was only used to measure the quality and effectiveness of the website.
46. To the extent that there is a violation, its duration was limited to the period between April 28, 2020, and October 1, 2020. To the extent that there is a violation, a reprimand would be more proportionate to the violated norm, which can be considered a minor infringement.

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5. Assessment

5.1

Data Controller and Authority of the AP

47. It is established and undisputed that A.S. Watson is the data controller (Article 4, introductory part and under 7, GDPR).
48. The protection of natural persons in the processing of personal data is a fundamental right that the AP, as the competent supervisory authority, must safeguard. To comply with this, the GDPR assigns the AP the task of enforcing and monitoring the application of the GDPR. To carry out this task, the AP has investigative powers, such as conducting inspections and requesting information. These investigative powers are exercised by the inspectors employed by the AP. In the context of the investigation into A.S. Watson, the inspectors of the AP visited the website [kruidvat.nl](https://www.kruidvat.nl) and conducted technical research using tools, documenting the results in an official report.
49. The website [kruidvat.nl](https://www.kruidvat.nl) is an accessible website for everyone. That is precisely the purpose of that website. After all, A.S. Watson uses [kruidvat.nl](https://www.kruidvat.nl) to sell products online to consumers. The public accessibility of this website is therefore essential for A.S. Watson. Contrary to what A.S. Watson

claims, the website kruidvat.nl cannot be equated with a private domain (or a private estate). Conducting research on a publicly accessible website such as kruidvat.nl cannot, in the opinion of the AP, be equated with entering an office building, a (branch) establishment, or another business space. Therefore, there is no interference with private life, as A.S. Watson argues.

50. The AP is authorized under the GDPR to investigate the processing of personal data and may take enforcement action in cases of violation of the GDPR. The powers are further specified in the Implementation Act of the GDPR and in Chapter 5 of the General Administrative Law Act. These powers also extend to entering office buildings, (branch) establishments, and business spaces. The position of A.S. Watson is therefore unfounded.

12 Recital 1 of the GDPR and Article 1 GDPR.

13 Article 55, first paragraph, GDPR.

14 Article 57, first paragraph, under a, GDPR.

15 Article 58, first paragraph, GDPR.

16 Article 15, first paragraph, UAVG.

17 Article 8 of the Convention for the Protection of Human Rights and Fundamental Freedoms (ECHR).

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5.2

Legality of Evidence Collection

51. Investigators from the AP are authorized to conduct investigations based on Article 58 of the GDPR and Title 5.2 of the General Administrative Law Act (Awb). Pursuant to Article 5:18 of the Awb, they are empowered to investigate matters. In this investigation, AP investigators visited the publicly accessible website kruidvat.nl to conduct a technical examination of the functioning of cookies. Such research falls under the authority mentioned in Article 5:18 of the Awb. The fact that a computer program was used solely to make the results of the investigation visible does not render the evidence collection unlawful. Therefore, there is no question of unlawful evidence collection.

5.3

Principle of Carefulness

52. The argument of A.S. Watson that it was wrongly not given the opportunity to respond to the technical investigation of May 11, 2021, and that the AP thereby acted contrary to the principle of carefulness, fails. This is for the following reasons.

53. The investigation report indicates that technical research was conducted into the cookies on the website kruidvat.nl on April 28, 2020, May 7, 2020, and June 17, 2020. Following this investigation, the AP investigators requested information from A.S. Watson in a letter dated June 26, 2020, regarding the cookies encountered during that investigation.¹ A.S. Watson responded on July 21, 2020, after which the investigators posed additional questions on September 24, 2020. A.S. Watson also responded to these questions on October 5, 2020. Subsequently, another technical investigation was conducted on May 11, 2021, but A.S. Watson was not given the opportunity to respond at that time. However, the investigation report and the underlying documents were provided to A.S. Watson on July 1, 2021. A.S. Watson took advantage of the opportunity to present its views on this.

54. The outcomes of the technical investigation, taking into account the views presented by A.S. Watson, do not provide sufficient support for the conclusion that cookies were placed on the visitors of kruidvat.nl between October 1, 2020, and May 11, 2021, with the aim of processing personal data before the visitors had given consent. This means that there was no violation of Article 6, paragraph 1, of the GDPR during the period from October 1, 2020, to May 11, 2021.

55. According to the AP, there is no action contrary to the principle of carefulness. On the contrary, A.S. Watson was given the opportunity at various times to answer several questions following the findings of the AP investigators, and A.S. Watson also submitted a statement of views. This statement of views was partly the basis for the AP's conclusion that there was no violation during the period from October 1, 2020, to May 11, 2021.

56. In light of the above, the AP concludes that there is no violation of the principle of carefulness.

5.4

Processing of Personal Data

57. This paragraph outlines why the AP, contrary to A.S. Watson's argument, believes that A.S. Watson processed personal data on kruidvat.nl by placing cookies.

58. Visitors to the website kruidvat.nl have the option to register. In doing so, the address, email address, gender, first name, and date of birth are recorded.¹⁸ According to A.S. Watson, approximately [CONFIDENTIAL] of the visitors to kruidvat.nl are registered.¹⁹ This means that A.S. Watson processes the aforementioned personal data of the registered visitors before the visitors have given consent.

59. Furthermore, it follows from Recital 30 of the GDPR that natural persons can be linked to online identifiers via their devices, applications, tools, and protocols, such as Internet Protocol (IP) addresses, identification cookies, or other identifiers such as radio frequency identification tags. This can leave traces that, especially when combined with unique identifiers and other information received by the servers, can be used to create profiles of natural persons and recognize natural persons.

60. A.S. Watson assigns a unique user ID (or visitor ID) to each visitor using cookies, as highlighted in paragraphs 13 to 17 of this decision.

61. The unique user ID associated with the first-party cookie 'peerius_user' and the unique visitor ID associated with the first-party cookie 'unless_visitorId' are intended to track returning visitors. This means that a visitor who has previously visited kruidvat.nl can be identified with a unique user ID or visitor ID and the IP address.

62. A.S. Watson also uses the third-party JavaScript from Unless and the third-party tracking beacon from Google Analytics. This collects data that is sent to Unless²⁰ and Google Analytics²¹.

¹⁸ Investigation report, p. 11 (and Annex 9 to the investigation report).

¹⁹ Speaking notes for the hearing on October 11, 2023, paragraph 3.7.

²⁰ 'aggregated behavioral scores, URL, custom events, IP and user-agent', see investigation report, p. 27.

²¹ 'User agents, Traffic sources-referrers/campaigns/Sources, client ID/visitor ID, Location, language, Page URL, Page Title, see investigation report, p. 28.

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sent with the aim of creating a personalized experience based on the unique user-ID or visitor-ID. Unless and Google Analytics can thus provide a personalized experience back to the website kruidvat.nl based on this collected data and the data they possess.

63. This personalized experience, together with the unique user-ID or visitor-ID, results in profiles being created of the visitors of kruidvat.nl. Additionally, A.S. Watson can also create interest profiles for personalization purposes by processing data including navigation behavior on the web pages (viewed pages) and the products added to the shopping cart and purchased products, geolocation, and IP address. Kruidvat.nl offers a very wide variety of products. These can include health products,

personal care products, household products, but also electronics, toys, and baby products. In particular, the combined view of products added to the shopping cart, purchased products, and geolocation (via IP address) linked to the unique user-ID or visitor-ID can sketch a very specific and invasive profile of the visitors of kruidvat.nl.

64. The AP notes in this regard that A.S. Watson explicitly states in its privacy policy that it processes personal data of visitors. Visitors are explicitly informed in the privacy policy about the processing of their personal data. Examples include:

“In this privacy policy, we explain what types of personal data we collect [...]”;

“What personal data may we collect?

Information about the type of browser you use when visiting our Sites, your IP address and device address, hyperlinks you have clicked on, the previous website you visited before coming to our Sites, and information collected by cookies or similar tracking systems. Your username, profile picture, gender, networks, and any other information you wish to share when using third-party Sites (such as when you use the 'Like' functionality on Facebook)”; and

“we can also tailor our Sites and our products to your interests and needs by collecting information about your device and linking it to your Personal Data. This ensures that our Sites are tailored to what is interesting for you.”

65. For non-registered visitors, it concerns the processing of a unique user-ID or visitor-ID that is interchangeable with a name. Such an online identifier qualifies as personal data within the meaning of Article 4, paragraph 1, GDPR. It is about the possibility that the data subject is directly or indirectly identifiable, and this is the case for visitors of kruidvat.nl with the unique user-ID or visitor-ID.

66. In light of the above, the AP concludes that A.S. Watson processes personal data of the visitors of kruidvat.nl.

5.5

Legal basis for the processing of personal data

67. Now that there is processing of personal data, it must be assessed whether A.S. Watson has a legal basis for this processing. The processing of personal data is only lawful if there is a legal basis for it.

68. A.S. Watson places cookies on the equipment of visitors to kruidvat.nl (hereinafter: the data subject) with the aim of processing personal data. For placing cookies, A.S. Watson requires consent from the data subject. The consent given by the data subject must consist of a free, specific, informed, and unambiguous expression of will, combined with an unambiguous active action. Silence, the use of already checked boxes or ticks, or inactivity does not constitute consent.

69. The research report indicates that when visiting kruidvat.nl, cookies are placed on the equipment of the data subject before the data subject has given consent for this. The following cookies are involved:

- First party cookie 'peerius_user';
- First party cookie 'unless_visitorId';
- Third party javascript from Unless; and
- Third party tracking beacon from Google Analytics.

70. This fact alone constitutes a violation of Article 6, paragraph 1, in conjunction with Article 5, paragraph 1, under a, GDPR because, without prior consent, personal data of the data subject is processed unlawfully.

26 CJEU October 19, 2016, C-582/14, ECLI:EU:C:2016:779 (Breijer), para. 42.

27 Article 6, paragraph 1, GDPR.

28 See Article 4, introductory part and under 11, GDPR.

29 Recital 32 of the GDPR; see also CJEU October 1, 2019, C-673/17, ECLI:EU:C:2019:801 (Planet 49), paras. 61-63.

30 Research report p. 11 and annex 5 to the research report p. 11 et seq.

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71. The investigation report also indicates that the website kruidvat.nl has the checkbox for "agree" pre-selected by default, so the data subject is considered to have consented to the placement of advertising cookies by default.³¹ If the data subject wishes to find out whether and, if so, how the "advertising cookies" are set, they must take the following steps.

72. In the first step, at the bottom of the page, the data subject has the choice between "I agree to the use of cookies" or "Do you want to know more."

73. Once clicked on "Do you want to know more," the data subject encounters a second step with a subsequent 'pop-up' offering the choice between "agree and continue" or "more information."

31 Investigation report p. 12-15.

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74. Subsequently, in the third step, the data subject encounters another 'pop-up' featuring a vertical slider that is set by default to "advertising cookies." In this screen, the data subject has the option to click on "advanced settings."

75. When the data subject clicks on this, a 'pop-up' appears in the fourth step with the option to allow or refuse functional cookies and advertising cookies.

76. The AP establishes that in this case, there are pre-checked (advertising) cookies. According to the case law of the Court of Justice of the European Union³² (CJEU), there is no valid consent if the placement of cookies on the data subject's device is based on a pre-checked checkbox that the data subject must uncheck if they refuse to give their consent. Since A.S. Watson has used pre-checked (advertising) cookies, there is no free, specific, informed, and unambiguous expression of will by which the data subject accepts the processing of personal data concerning them through a statement or a clear affirmative action.

77. The AP concludes regarding pre-checked (advertising) cookies that there is a violation of Article 6, paragraph 1, in conjunction with Article 5, paragraph 1, under a, GDPR, because A.S. Watson did not obtain the aforementioned consent from the data subject for the processing of personal data. This implies that A.S. Watson has acted unlawfully, as it is in violation of the GDPR.

32 CJEU October 1, 2019, C-673/17, ECLI:EU:C:2019:801 (Planet 49), para. 63.

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5.6

Duration of the violation

78. A.S. Watson adjusted its approach as of October 1, 2020, regarding the request for consent from the data subject for the placement of (the aforementioned) cookies when visiting kruidvat.nl. This adjustment means that all other cookies, except for necessary cookies, are not pre-checked by default.

79. Furthermore, the investigation report indicates that on May 11, 2021, the Third-party JavaScript from Unless was found before the data subject had given consent for it.³³ A.S. Watson has explained and made it plausible that the Third-party JavaScript from Unless only became active after October 1, 2020, once the data subject had given consent. Since the investigation report only established that the mentioned JavaScript was found, without demonstrating its functionality, and considering what A.S. Watson has argued in its response on this point, the AP concludes that A.S. Watson only places cookies after the data subject has given consent as of October 1, 2020.

80. This means, as already considered in paragraph 53, that the violation of Article 6, paragraph 1, in conjunction with Article 5, paragraph 1, under a, GDPR occurred until October 1, 2020.

6. Administrative fine

81. The AP is authorized to impose an administrative fine based on Article 58, paragraph 2, introductory wording and under i, in conjunction with Article 83 GDPR and read in conjunction with Article 14, paragraph 3, UAVG.

82. Case law from the CJEU shows that the wording of Article 83, paragraph 2, GDPR indicates that breaches of the provisions of the GDPR committed by the data controller in a culpable manner – that is, intentionally or negligently committed breaches – may lead to an administrative fine being imposed on the data controller under that article.³⁴ In this case, there is a culpable act by A.S. Watson for which the AP will impose a fine.

83. It has been concluded in paragraphs 70 and 77 that A.S. Watson unlawfully processed personal data without the consent of the data subject and thereby violated Article 6, paragraph 1, in conjunction with Article 5, paragraph 1, under a, GDPR. This violation occurred during the period from April 28, 2020, to October 1, 2020. This means that there is one act for which an administrative fine will be imposed.

33 Investigation report p. 20 and appendix 11 to the investigation report.

34 CJEU December 5, 2023, C-683/21, ECLI:EU:C:2023:949 (NVSC) para. 73 and 83; CJEU December 5, 2023, C-807/21, ECLI:EU:C:2023:950 (Deutsche Wohnen) para. 68 and 76.

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6.1

Determining the Fine Amount Systematics

84. In exercising the authority to impose an administrative fine, the AP takes into account both the Policy Rules of the AP regarding the determination of the amount of administrative fines (Stcrt. 2019, 14 586) (hereinafter: Fine Policy Rules) and the Guidelines 04/2022 for the calculation of administrative

fines under the GDPR (hereinafter: Guidelines).³⁵ In the explanation accompanying the Fine Policy Rules

2019, it is stated that the EDPB³⁶ has not yet established joint principles for the calculation of fines.

Therefore, there was reason to establish policy regarding the authority to impose a fine for the sake of legal equality and legal certainty. Since there was an effort within the EDPB to arrive at joint principles for fine calculation, this policy was temporary in nature. On May 24, 2023, the EDPB adopted the Guidelines. This policy lays down the joint principles for the situation where companies violate the GDPR.

In the present case, the application of the Fine Policy Rules 2019 leads to the same fine amount as the application of the Guidelines.

85. The fine amount will be determined as follows:

1.
Determining the starting amount of the fine based on the Fine Policy Rules;
2.
Considering the circumstances based on the Fine Policy Rules;
3.
Considering the circumstances based on the Guidelines;
4.
Determining the fine amount and assessing effectiveness, proportionality, and deterrence.

86. These components will be addressed in succession below.

6.2

Determining the Starting Amount Based on Fine Policy Rules

87. In this case, the starting point is formed by the applicable range of the Fine Policy Rules. The AP, in determining the amount of the fine, takes into account the factors mentioned in Article 7 of the Fine Policy Rules, without prejudice to Articles 3:4 and 5:46 of the General Administrative Law Act (Awb). These factors are also mentioned in Article 83, second paragraph, GDPR and in the Guidelines.

88. For a violation of Article 6, first paragraph, GDPR, in conjunction with Article 5, first paragraph, introductory part and under a, GDPR, the AP may impose an administrative fine of up to €20,000,000. In the case of an enterprise, a fine may be imposed of up to 4% of the total worldwide annual turnover in the previous financial year, if this figure is higher.

35 The Guidelines can be consulted at .

36 European Data Protection Board, or the European Committee for Data Protection referred to in Article 68 et seq. of the GDPR.

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89. Under the Fine Policy Rules, a violation is categorized based on the provision violated, ranging from category I to IV. It applies that the more important the provision is for the protection of personal data, the higher the category of violation. The Fine Policy Rules determine that violations of Articles 5 and 6 GDPR fall into category III.³⁷ The range of this category runs from €300,000 to €750,000. This range will be taken as the starting point for the further calculation of the final fine, after consideration of the relevant factors.

6.3

Assessment of the Circumstances Based on the Fine Policy Rules

90. In determining the amount of the fine, the relevant circumstances in this case are assessed based on the factors mentioned in Article 7 of the Fine Policy Rules. In any case, account must be taken of the nature, severity, and duration of the infringement. Other circumstances that must be taken into account include the categories of personal data involved and whether the infringement is intentional or negligent in nature.

i. Nature, Severity, and Duration of the Infringement

Nature of the Infringement

91. Regarding the nature of the infringement, the AP considers that the infringement relates to the principle of lawfulness. This is one of the six fundamental principles of the GDPR and thus a fundamental requirement for the protection of personal data. The principle of lawfulness safeguards the data subject's control over their personal data. By assuming consent by default and using pre-checked boxes, A.S. Watson has bypassed the principle of lawfulness and has undermined the data subject's control over their personal data. Furthermore, the (European) legislator has emphasized that this method of obtaining consent is not in line with the GDPR.³⁸

Severity of the Infringement

92. In determining the severity of the infringement, the AP takes into account the scale of the processing, the number of affected data subjects, and the damage suffered by them. Furthermore, the AP considers how long the infringement lasted, as well as the type of personal data involved.

³⁷ See Fine Policy Rules 2019, Appendix 2.

³⁸ Recital 32 of the GDPR.

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93. With regard to the scope of the processing, the AP notes that there was no extraordinarily large processing, but neither was it a small-scale processing. The scope of the processing concerned all of the Netherlands. Furthermore, A.S. Watson collected personal data via the website [kruidvat.nl](https://www.kruidvat.nl) operated by it through the placement of (tracking) cookies. Regarding the purpose of the processing, the AP weighs in that the processing of personal data through the placement of such (tracking) cookies does not fall under one of the main activities of A.S. Watson.

94. As for the number of affected parties, the AP notes that A.S. Watson has stated that it had approximately [CONFIDENTIAL] visitors to [kruidvat.nl](https://www.kruidvat.nl) between November 29, 2019, and June 25, 2020.³⁹ It cannot be determined how many of these website visitors are unique visitors. Furthermore, A.S. Watson has substantiated that during the mentioned period, considering the government-imposed restrictions related to the COVID-19 pandemic, there was an increase in the number of visitors to [kruidvat.nl](https://www.kruidvat.nl). Drugstores were designated as essential stores at that time while other stores had to close their doors. The AP deduces from this that the number of affected parties would have been lower

under normal circumstances. In light of this, the AP concludes that even if, under normal circumstances, the visitor numbers would only be half of [CONFIDENTIAL], there is still a substantial number of visitors. This is also the case if, as A.S. Watson itself indicates, only [CONFIDENTIAL] of those visitors make a purchase or only [CONFIDENTIAL] are logged in. In all cases, it concerns [CONFIDENTIAL] logged-in visitors and [CONFIDENTIAL] visitors who made a purchase, who are affected by A.S. Watson's actions.

95. Regarding (the extent of) the damage, the AP notes that the party concerned has been deprived by A.S. Watson of control over their personal data, which constitutes a violation of the rights and freedoms of the affected parties. In this case, it has not been shown that the affected parties have suffered concrete and demonstrable damage.⁴⁰

Duration of the violation

96. As mentioned in paragraph 5.6, the AP has established that the violation occurred from April 28, 2020, to October 1, 2020. The established violation thus lasted five months.

97. The AP qualifies the nature of the violation as serious, due to the infringement of two fundamental aspects of the GDPR. On the other hand, the violation was of short duration, and the severity of the violation must be classified as low.

39 Research report p. 19 and appendix 3 to the research report.

40 CJEU March 5, 2024, C-755/21, ECLI:EU:C:2022:202 (Kočner/Europol) paragraph 135.

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ii. The intentional or negligent nature of the violation

98. Based on Article 7, introductory phrase and under b, Fine Policy Rules, the AP takes into account the intentional or negligent nature of the violation by A.S. Watson. The severity of the violation carries more weight when the data controller has consciously committed an infringement. When the violation is the result of negligent behavior, the severity of the violation carries less weight.

99. In this context, the AP considers that A.S. Watson followed a procedure with pre-checked cookies that disregarded the requirement for a free, specific, informed, and unambiguous expression of will by the data subject, whereby the data subject accepts the processing of personal data concerning them through a statement or an unambiguous action. Furthermore, A.S. Watson only began to adjust its procedure after being pointed out by the AP in the norm-transmitting letter of November 29, 2019, that A.S. Watson was infringing the GDPR with its procedure. The AP notes that this adjustment could have been made more promptly.

iii. The categories of personal data involved in the violation

100. Based on Article 7, introductory phrase and under g, Fine Policy Rules, the AP takes into account the categories of personal data involved in the violation. If personal data has been processed that deserves special protection, the AP qualifies the violation as more serious. The starting point here are the categories mentioned in Articles 9 and 10 of the GDPR.

101. The AP establishes that there is no processing of special personal data within the meaning of Articles 9 and 10 of the GDPR. Regarding the amount of data, the AP notes that A.S. Watson has processed a limited number of personal data.

102. Based on the considerations under i, ii, and iii, the AP assesses the severity of the violation. The indicated qualifications also determine the level of the fine within the range of category III of the Fine Policy Rules⁴¹. Considering the previous circumstances, the AP is of the opinion that in this case, the severity of this violation should be classified at a low level.

iv. Other relevant circumstances applicable to the present case

41 See Fine Policy Rules 2019, appendix 2.

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103. The AP has taken into account the other circumstances mentioned in Article 7, introductory phrase and under k, of the Fine Policy Rules. The long duration between the provision of the investigation report to A.S. Watson and the establishment of this enforcement decision has prompted the AP to moderate the fine from the perspective of proportionality.

104. Furthermore, there is no evidence of remaining circumstances mentioned in Article 7 of the Fine Policy Rules that have occurred concerning the infringement by A.S. Watson.

6.4

Assessment of the circumstances based on the Guidelines

105. The Guidelines describe a methodology in which the following is considered sequentially:

1.
What and how many actions and infringements are under assessment;
2.
What amount serves as the starting point for the calculation of the fine for this;
3.
Whether there are mitigating or aggravating circumstances that necessitate an adjustment of the amount from step 2;
4.
What maximum amounts apply to the violations and whether any increases from the previous step do not exceed this amount;
5.
Whether the final amount of the calculated fine meets the requirements of effectiveness, deterrence, and proportionality, and if necessary, is adjusted accordingly.

106. The number of actions that resulted in infringements of the GDPR and the starting amount for fine calculation have already been qualified in paragraph 6.2.

107. Like the Fine Policy Rules, the Guidelines stipulate that the AP must examine whether there are mitigating or aggravating circumstances that could lead to an adjustment in the qualification of the infringement. This must be done based on the circumstances mentioned in Article 83, second paragraph, introductory phrase and under a to k, GDPR.

108. First, attention must be paid to the severity of the infringement.⁴² This takes into account the nature, seriousness, and duration of the infringement, as well as the intentional or negligent nature of the infringement and the categories of personal data processed. These factors have already been discussed in paragraph 6.3. This has led to the conclusion that the severity of the infringement is classified as low.

109. The Guidelines stipulate that, from the perspective of fairness, the size of the enterprise must be taken into account when calculating the amount of the fine. The size of the enterprise is determined based on revenue. According to the case law⁴³ of the Court of Justice of the EU, the revenue of the entire group must be used to determine the upper limit of the fine. A.S. Watson is a wholly-owned subsidiary of A.S. Watson Europe Holding B.V., which in turn is a wholly-owned subsidiary of CK Hutchison Holdings Limited. Therefore, the size of the enterprise will be determined based on the global revenue of CK Hutchison Holdings Limited.⁴⁴ The revenue of CK Hutchison Holdings Limited was €53.5 billion in 2022. The GDPR prescribes a maximum fine of 4% of total global annual

revenue.⁴⁵ In this case, a statutory maximum fine of €2.14 billion applies.

110. Subsequently, the Guidelines stipulate that the other circumstances from Article 83, second paragraph, GDPR are taken into account. As already mentioned, consideration has been given to the circumstances listed in that provision (items a to k).

The AP has included as other circumstances the long time frame between the publication of the investigation report and the issuance of an enforcement decision. This aspect has been classified as mitigating concerning the amount of the fine.

6.5

Determining the amount of the fine and assessing effectiveness, proportionality, and deterrence

111. In this case, however, the amount of the fine will be determined using the base fine from the relevant category of the Fine Policy Rules. The amount of the fine will lead to the same outcome based on both the Fine Policy Rules and the Guidelines.

112. This case involves a violation where category III of the Fine Policy Rules applies. The fine range for category III is from €300,000 to €750,000.

113. Considering all the aforementioned circumstances, the AP arrives at a fine of €600,000 for placing cookies without prior valid consent from the data subject (Article 6, first paragraph, read in conjunction with Article 5, first paragraph, under a, GDPR). The AP finds this fine appropriate and warranted.

114. Finally, it must be assessed whether the fine is effective, proportional, and deterrent. Article 49, third paragraph, of the Charter of Fundamental Rights of the EU and Articles 3:4 and 5:46, second paragraph, of the General Administrative Law Act indicate that the administrative fine, given the circumstances of the case, does not lead to an disproportionate outcome.

43 *Groupe Gascogne SA/European Commission* (Case C-58/12P, judgment of November 26, 2013), ECLI:EU:C:2013:770, § 52-57.

44 A calculation based on the global revenue of HK\$457 billion of CK Hutchison Holdings Limited, as the parent company of A.S. Watson. See 2022 Annual Results, p.24.

45 See Article 83, fifth paragraph, GDPR.

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115. An administrative fine is effective and efficient when the objective for which it was imposed is achieved. The objective may be to punish unlawful behavior, as well as to promote compliance with applicable regulations. Given the considerations regarding the nature, severity, and duration of the infringement, as well as the aggravating and mitigating circumstances of Article 83, paragraph 2, GDPR, the AP is of the opinion that the present administrative fine achieves both objectives and is therefore effective.

116. The AP considers the fine to be proportional, given the severity and extent of the violation. Since a violation of one of the fundamental principles of the GDPR has occurred, the AP deems an administrative fine appropriate. Taking into account the previously mentioned revenue of €53.5 billion of the group to which A.S. Watson belongs, the AP concludes that no particularly exceptional circumstances have arisen that would make the administrative fine disproportionate to A.S. Watson.

117. Finally, the imposed fine must be deterrent. This means that A.S. Watson will refrain from infringing the GDPR in the future. The AP is of the opinion that the prescribed fine has a deterrent effect.

7. Decision

118. The AP imposes an administrative fine of €600,000 on A.S. Watson Health & Beauty Continental Europe B.V. for violating Article 6, paragraph 1, in conjunction with Article 5, paragraph 1, under a, GDPR.

Yours sincerely,
Authority for Personal Data,

mr. A. Wolfsen
Chairman

Legal Remedies Clause

If you disagree with this decision, you may submit a notice of objection digitally or in writing to the Authority for Personal Data within six weeks of the date of dispatch of the decision. Pursuant to Article 38 of the UAVG, the submission of a notice of objection suspends the effect of the decision to impose the administrative fine. The AP will only proceed to collection after the decision has become irrevocable.

For submitting a digital objection, see www.autoriteitpersoonsgegevens.nl, under the heading "Making an objection against a decision," at the bottom of the page under the heading "Contact with the Authority for Personal Data."

The address for submitting in writing is:

Authority for Personal Data, P.O. Box 93374, 2509 AJ The Hague.

Please indicate on the envelope "Awb-objection" and title your letter "objection."

In your notice of objection, please include at least:

- your name and address;
- the date of your notice of objection;
- the reference mentioned in this letter (case number); or attach a copy of this decision;
- the reason(s) why you disagree with this decision;
- your signature.

Attachment 1

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General Data Protection Regulation

Article 4

Definitions

For the purposes of this regulation, the following definitions apply:

1) "personal data": any information relating to an identified or identifiable natural person ("the data subject"); an identifiable natural person is one who can be identified, directly or indirectly, particularly by reference to an identifier such as a name, an identification number, location data, an online identifier, or to one or more factors specific to the physical, physiological, genetic, mental, economic, cultural, or social identity of that natural person;

2) "processing": an operation or set of operations performed on personal data or on sets of personal data, whether or not by automated means, such as collection, recording, organization, structuring, storage, updating or alteration, retrieval, consultation, use, disclosure by transmission, dissemination or otherwise making available, alignment or combination, restriction, erasure or destruction of data;
[...]

7) "controller": a natural or legal person, a public authority, agency, or other body that, alone or jointly with others, determines the purposes and means of the processing of personal data; where the purposes and means of such processing are determined by Union law or the law of a Member State, it may be provided who the controller is or the criteria for its designation;
[...]

11) "consent" of the data subject: any freely given, specific, informed, and unambiguous indication of the data subject's wishes by which they, by a statement or by a clear affirmative action, signify agreement to the processing of personal data relating to them;

Article 5

1. Personal data must:

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a) shall be processed in a manner that is lawful, fair, and transparent with respect to the data subject (lawfulness, fairness, and transparency);

[...]

Article 6

1. Processing shall be lawful only if and to the extent that at least one of the following conditions is met:

a) the data subject has given consent to the processing of his or her personal data for one or more specific purposes;

b) processing is necessary for the performance of a contract to which the data subject is a party, or in order to take steps at the request of the data subject prior to entering into a contract;

c) processing is necessary for compliance with a legal obligation to which the controller is subject;

d) processing is necessary in order to protect the vital interests of the data subject or of another natural person;

e) processing is necessary for the performance of a task carried out in the public interest or in the exercise of official authority vested in the controller;

f) processing is necessary for the purposes of the legitimate interests pursued by the controller or by a third party, except where such interests are overridden by the interests or fundamental rights and freedoms of the data subject which require protection of personal data, in particular when the data subject is a child.

The first paragraph, point f), does not apply to processing by public authorities in the performance of their tasks.

2. Member States may maintain or introduce more specific provisions to adapt the way in which the rules of this regulation regarding processing are applied for compliance with paragraph 1, points c) and e); for this purpose, they may provide for a more detailed description of specific requirements for processing and other measures to ensure lawful and fair processing, including for other specific processing situations referred to in Chapter IX.

[...]

Article 58

Powers

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[...]

2. Each supervisory authority shall have all of the following powers to impose corrective measures:

[...]

i) depending on the circumstances of each case, impose an administrative fine pursuant to Article 83,

in addition to or instead of the measures referred to in this paragraph;

[...]

Article 83

General conditions for imposing administrative fines

1. Each supervisory authority shall ensure that the administrative fines imposed pursuant to this article for the infringements referred to in paragraphs 4, 5, and 6 of this regulation are effective, proportionate, and dissuasive in each case.

2. Administrative fines shall be imposed, depending on the circumstances of the specific case, in addition to or instead of the measures referred to in Article 58, paragraph 2, points a) to h) and j). In deciding whether to impose an administrative fine and the amount thereof, due regard shall be given to the following for each specific case:

a)

the nature, gravity, and duration of the infringement, taking into account the nature, scope, or purpose of the processing in question as well as the number of data subjects affected and the level of damage suffered by them;

b)

the intentional or negligent character of the infringement;

c)

the measures taken by the controller or processor to mitigate the damage suffered by data subjects;

d)

the degree of responsibility of the controller or processor, taking into account the technical and organizational measures they implemented in accordance with Articles 25 and 32;

e)

previous relevant infringements by the controller or processor;

f)

the degree of cooperation with the supervisory authority to remedy the infringement and mitigate the possible adverse effects of the infringement;

g)

the categories of personal data affected by the infringement;

h)

the manner in which the supervisory authority became aware of the infringement, in particular whether, and if so to what extent, the controller or processor notified the infringement;

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i) the compliance with the measures referred to in Article 58, paragraph 2, insofar as they have previously been taken regarding the controller or the processor in question concerning the same matter;

j) adherence to approved codes of conduct in accordance with Article 40 or to approved certification mechanisms in accordance with Article 42; and

k) any other aggravating or mitigating factor applicable to the circumstances of the case, such as financial gains made, or losses avoided, whether or not directly resulting from the infringement.

3. If a controller or a processor intentionally or negligently infringes multiple provisions of this regulation concerning the same or related processing activities, the total fine shall not exceed that for the most serious infringement.

4. Infringements of the provisions below are subject to administrative fines of up to 10,000,000 EUR or, for an undertaking, up to 2% of the total worldwide annual turnover in the preceding financial year, whichever is higher:

a) the obligations of the controller and the processor in accordance with Articles 8, 11, 25 to 39, and 42 and 43;

- b) the obligations of the certification body in accordance with Articles 42 and 43;
 - c) the obligations of the supervisory authority in accordance with Article 41, paragraph 4.
5. Infringements of the provisions below are subject to administrative fines of up to 20,000,000 EUR or, for an undertaking, up to 4% of the total worldwide annual turnover in the preceding financial year, whichever is higher:
- a) the basic principles for processing, including the conditions for consent, in accordance with Articles 5, 6, 7, and 9;
 - b) the rights of the data subjects in accordance with Articles 12 to 22;
 - c) the transfers of personal data to a recipient in a third country or an international organization in accordance with Articles 44 to 49;
 - d) all obligations under national law established by Member States pursuant to Chapter IX;
 - e) non-compliance with an order or a temporary or permanent processing restriction or a suspension of data flows by the supervisory authority in accordance with Article 58, paragraph 2, or non-granting of access in violation of Article 58, paragraph 1.
6. Non-compliance with an order of the supervisory authority as referred to in Article 58, paragraph 2, is subject to administrative fines of up to 20,000,000 EUR or, for an undertaking, up to 4% of the total worldwide annual turnover in the preceding financial year, whichever is higher.
7. Without prejudice to the powers to take corrective measures of the supervisory authorities in accordance with Article 58, paragraph 2, each Member State may establish rules regarding whether and to what extent administrative fines may be imposed on public authorities and bodies established in that Member State.
8. The exercise by the supervisory authority of its powers under this article is subject to appropriate procedural safeguards in accordance with Union law and national law, including effective judicial remedy and fair trial.
9. When the legal system of the Member State does not provide for administrative fines, this article may be applied in such a way that fines are initiated by the competent supervisory authority and imposed by competent national courts, ensuring that these remedies are effective and have the same effect as administrative fines imposed by supervisory authorities. The fines are in any case effective, proportionate, and dissuasive. Those Member States shall notify the Commission by May 25, 2018, of the legislative provisions they establish under this paragraph, as well as any subsequent amendments and all legislation affecting them.

Implementation Act General Data Protection Regulation

Article 14

Tasks and powers of the AP

[...]

3. The Data Protection Authority may impose an administrative fine of up to the amounts mentioned in paragraphs four, five, or six of Article 83 of the regulation in the event of a violation of the provisions therein.

General Administrative Law Act

Article 3:2

In preparing a decision, the administrative body gathers the necessary knowledge regarding the relevant facts and the interests to be weighed.

Article 3:4

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1. The administrative body weighs the interests directly involved in the decision, insofar as no limitation arises from a statutory provision or from the nature of the authority to be exercised.
2. The adverse consequences of a decision for one or more interested parties must not be

disproportionate in relation to the objectives to be served by the decision.

Article 4:8

1. Before an administrative body issues a decision against which an interested party, who has not requested the decision, is expected to have objections, it provides that interested party with the opportunity to present their views if:

- a) the decision would be based on data regarding facts and interests that concern the interested party, and
- b) that data has not been provided by the interested party themselves.

2. The first paragraph does not apply if the interested party has failed to comply with a legal obligation to provide data.

Article 5:46

1. The law determines the administrative fine that may be imposed for a specific violation at most.

2. Unless the amount of the administrative fine has been established by statutory provision, the administrative body adjusts the administrative fine to the seriousness of the violation and the extent to which it can be attributed to the offender. The administrative body takes into account, if necessary, the circumstances under which the violation was committed.

3. If the amount of the administrative fine has been established by statutory provision, the administrative body may nonetheless impose a lower administrative fine if the offender demonstrates that the established administrative fine is too high due to special circumstances.

4. Article 1, second paragraph, of the Penal Code is applicable mutatis mutandis.